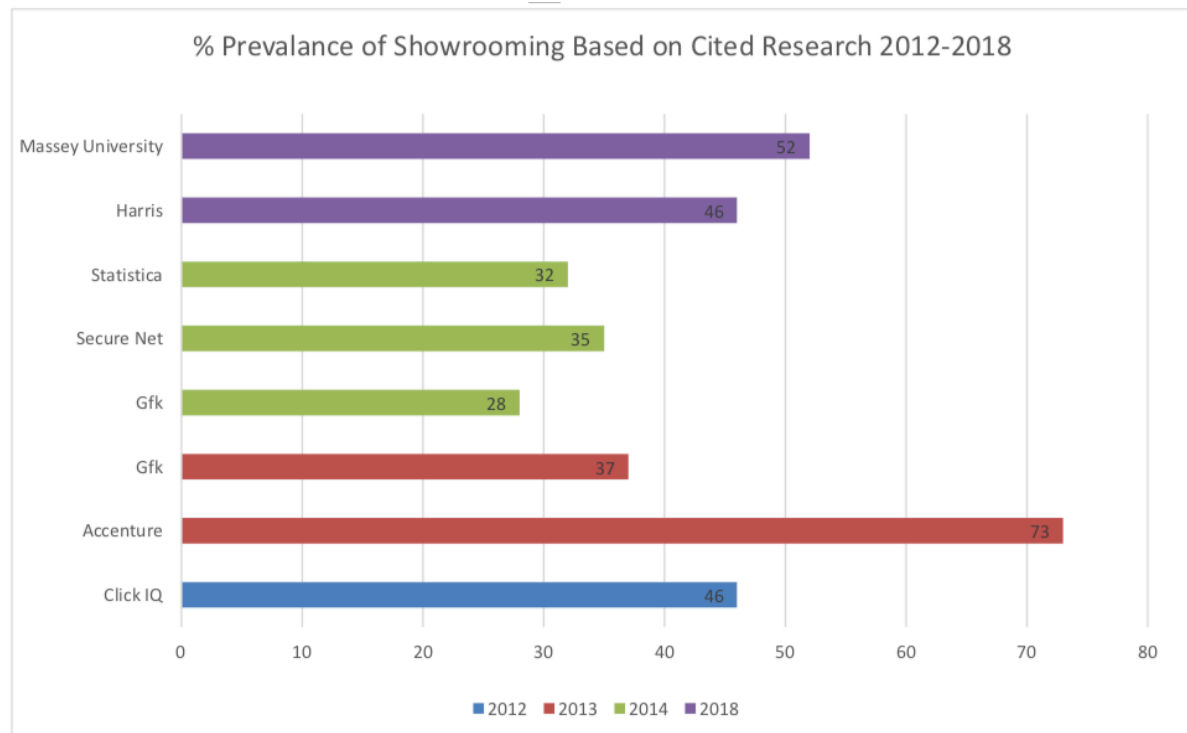


Abstract

The purpose of this report was to assess how much of an issue the consumer behaviour known as showrooming and webrooming is presently and to consider the arguments for and against enabling these practices from the perspective of the retailer. The report then offers recommendations to the retailer Harvey Norman and briefly considers the implications of those recommendations to Harvey Norman’s customers.

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So whilst the statistics vary, retailers have been and still remain concerned about showrooming. Rightly so according to Mehra, Kumar, & Raju (2018) as it is having a negative effect on BM retailers’ profits. Balakrishnan, et al, 2014, agree but added that the practice has led to reduced profits for on-line retailers or ‘e-tailers’ as well.

1.1.1 Product Type

Showrooming is also affected by product type, durables (e.g. Furniture and electronics) as opposed to consumables (e.g. fresh produce and medicines) are more likely to be bought online which means some retailers will be more prone to the trend than others. (Neilson Report, 2012, as cited in Khan, 2018). MSRS, finds the most popular showroomed products are Clothing and Footwear (48%) and Consumer Electronics (17%) with very few people showrooming food and groceries (3%).

Showroomed Product	Food and Groceries	Furniture & Homeware	White Goods & Appliances	Consumer Electronics	Clothing & Footwear	Cosmetics & Toiletries	Books & Magazines	Other	Total
Male	5%	0%	5%	41%	27%	5%	5%	14%	100%
Female	2%	7%	7%	7%	57%	17%	4%	0%	100%
Total	3%	4%	6%	17%	48%	13%	4%	4%	100%

Interestingly there appears to be a gender difference when it comes to the showroomed product.

generational shopping differences (See Appendix B - A Retail Marketing Guide to Modern Day Shopping). Nesar & Bin Sabir, (2016) say the reason showrooming has an age bias is likely because young people adjust more easily to new technology. Unfortunately the MSRS, does not support the showrooming by age relationship.

Intentionally Showroomed	18-24 years	25-34 years	35-44 years	45-54 years	55-64 years	65 years +	Total
Yes	24	14	10	9	0	0	57
No	20	15	6	6	2	4	53
Total	44	29	16	15	2	4	110

$\chi^2 = 7.863 < \chi^2_{c} = 11.070$, $df=5$, $\alpha=0.05$, $p\text{-value}=0.164$ (see Appendix C)

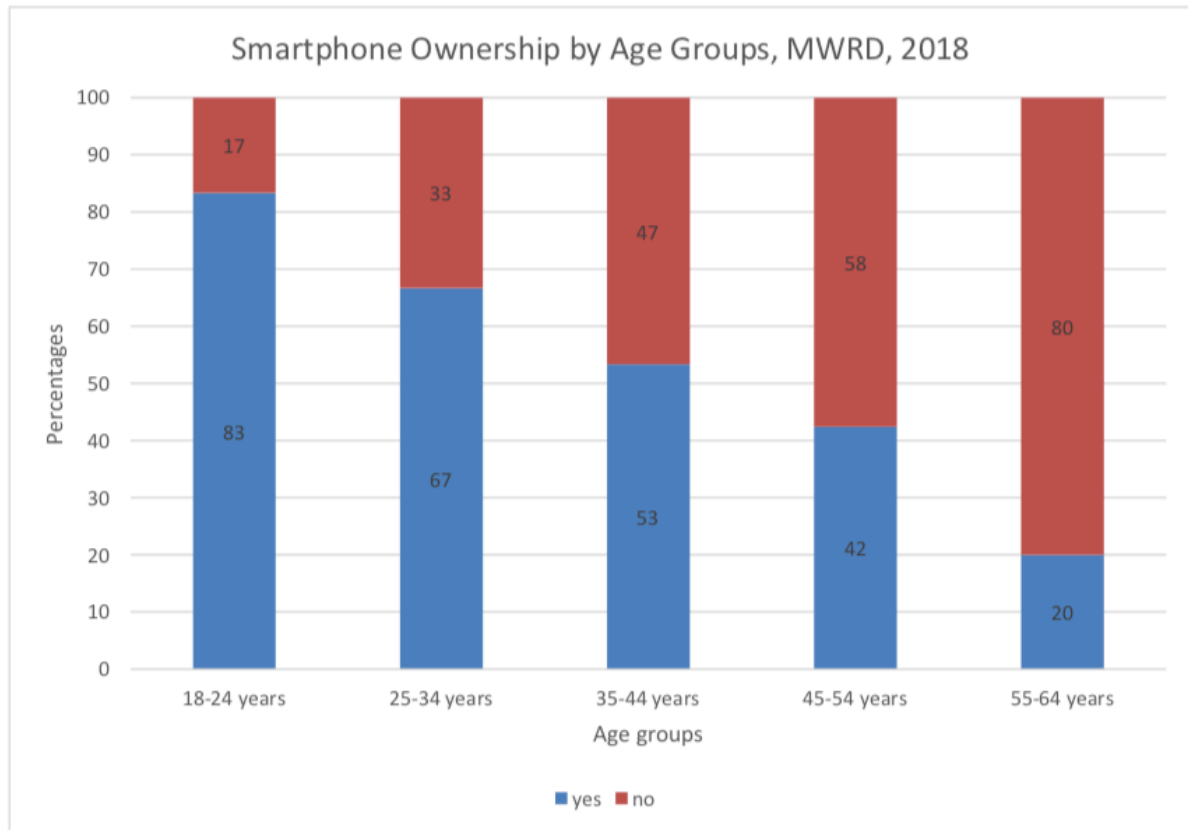
The p-value indicates a 16.4% chance this data could have occurred given the null hypothesis was true, which means we cannot reject the null hypothesis that there is no relationship between age and showrooming at a 0.05 significance level or even at a 0.10 significance level. However, the sample size was small and the older age groups were not well represented which could be partly due to the survey being done online.

Data provided in Massey University Course 115.109 via the webrooming survey, hence abbreviated as MWRD, 2018, did show a relationship between age and smart phone ownership.

Smartphone Ownership	18-24 years	25-34 years	35-44 years	45-54 years	55-64 years	Total
Yes	25	26	16	14	4	85
No	5	13	14	19	16	67
Total	30	39	30	33	20	152

$\chi^2 = 23.960 > \chi^2_{c} = 9.488$, $df=4$, $\alpha=0.05$, $p\text{-value}=0.0001$ (see Appendix D)

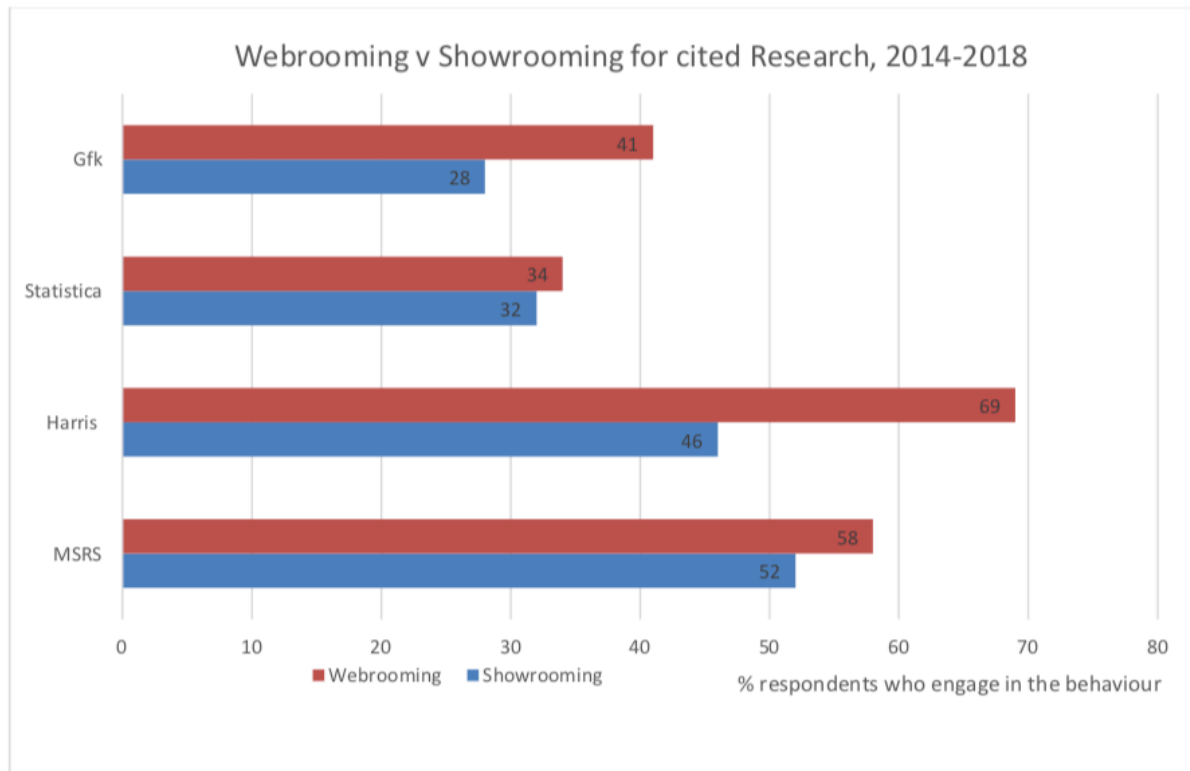
This is important since more people are actually showrooming on a smartphone whilst shopping instore and since fewer ‘older’ people have smartphones they are less likely to engage in this behaviour. Of the 152 consumers only 20% between the age of 55 and 64 years owned a smartphone and again the 65 years+ group was not represented. This doesn’t mean the older age groups are not showrooming at all as they may be doing so using a computer or tablet at home.



1.2 Webrooming

Since retailers tried various tactics to combat the showrooming trend, the reverse process has risen in popularity and has arguably become even more popular than showrooming, as evidenced below:

- A 2014 study by GfK found that 41% purchased a product instore after researching a product on a smartphone (as opposed to 37% to 28% who showroomed in 2013 & 2014 respectively).
- Statistica.com (also 2014), found 34% of consumers worldwide had webroomed during their survey period (as opposed to 32% who had showroomed).
- Harris (cited in Khan, 2018) found 69% of people webroom (while only 46% showroom).
- The MSRS (2018) also found shoppers reported a higher tendency to webroom in the last three months, 58% as opposed to 52% who had showroomed.

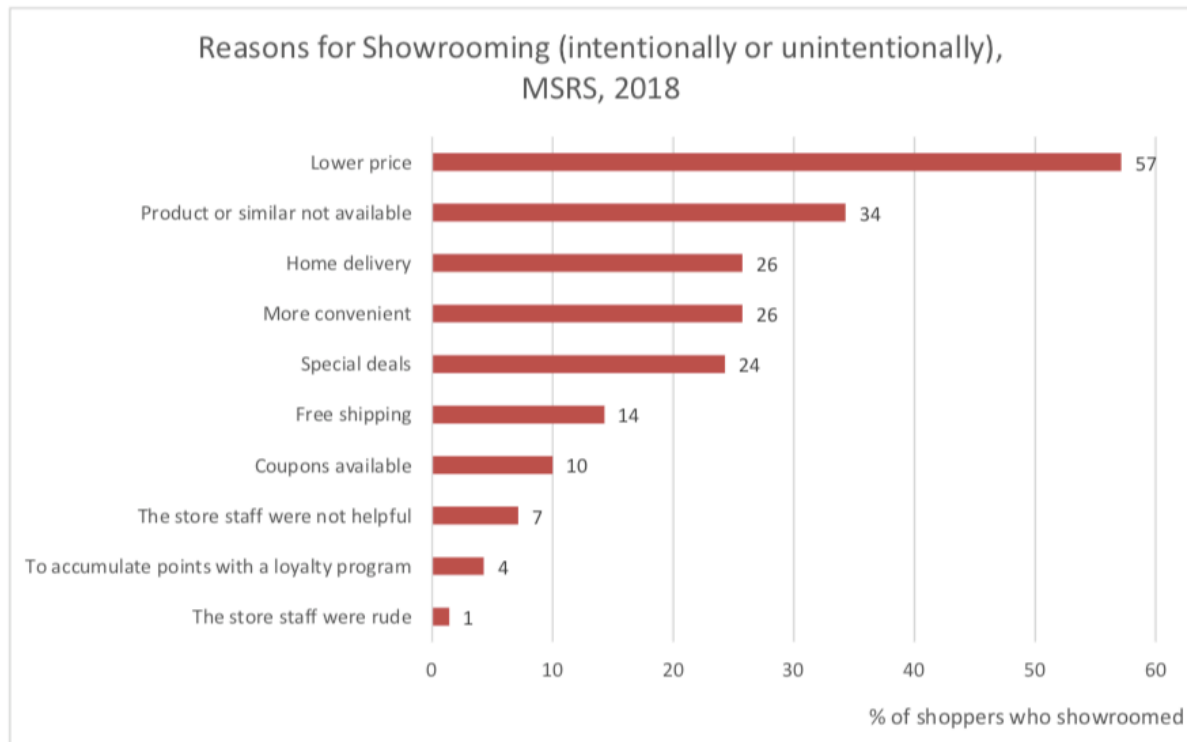


Although the statistics vary, the point for retailers is that both types of behaviour exist and to keep up with the high expectations of modern customers, retailers are going to have to deliver a seamless shopping experience which is both convenient and consistent no matter which channel the customer chooses to purchase from (Shah, Misra, & Maity, 2018).

2.0 Arguments for Enhancing or Inhibiting Showrooming and Webrooming Practices

2.1 Showrooming – To Enhance or Inhibit

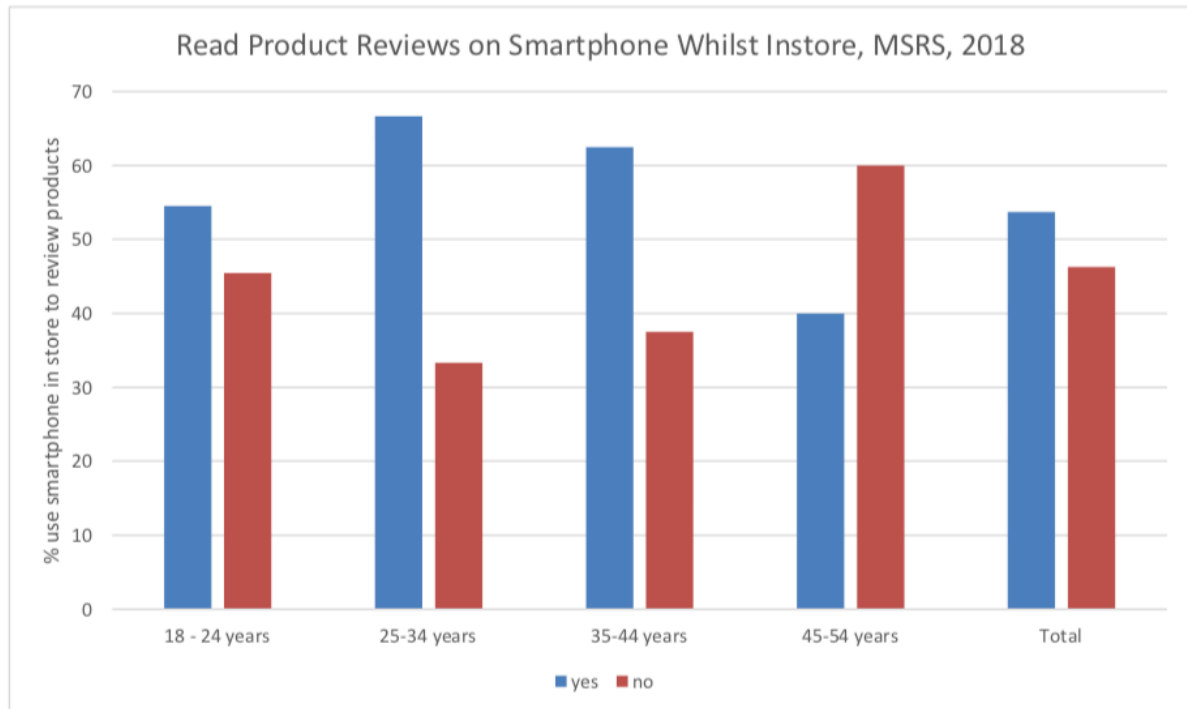
Customers showroom because they want to touch and feel (Roman, 2017) but then purchase online, because they perceive it to be cheaper and easier with a greater selection of products (GfK, 2014). MSRS, 2018, agrees the main reasons for showrooming are related to price, ease and convenience. Very few showroom because they perceive the staff to be rude or unhelpful.



Retailers have tried various tactics to try to inhibit showrooming, also known as ‘free riding’. Mehra et al, 2018, suggest the most effective short term strategy is price matching although they go on to say its benefit to retailer profits is not yet conclusive. Longer term strategies proposed by Mehra et al, 2018, include creating unique ‘own brand’ product lines which are not sold online by other retailers or developing exclusive relationships with well-known brands (for example Macy’s in the US have exclusivity with Tommy Hilfiger). According to their research they conclude the later to be more beneficial.

One way for retailers to embrace showrooming is to open ‘product showrooms’ as opposed to more traditional stores. This way customers can touch and feel the products but then have them shipped/delivered straight to their door (Khan, 2018). Furthermore, if retailers use this technique they need to make sure they can deliver on time. Millennials (born between 1981 and 1996, so 22-37 years in 2018) do not like to wait (Matteo, n.d). Indeed Walmart have introduced free two day shipping on all purchases over \$35 as well as a free shop online and pick up in store option making it “easier, cheaper and faster for consumers to get their selected merchandise” (Roman, 2017).

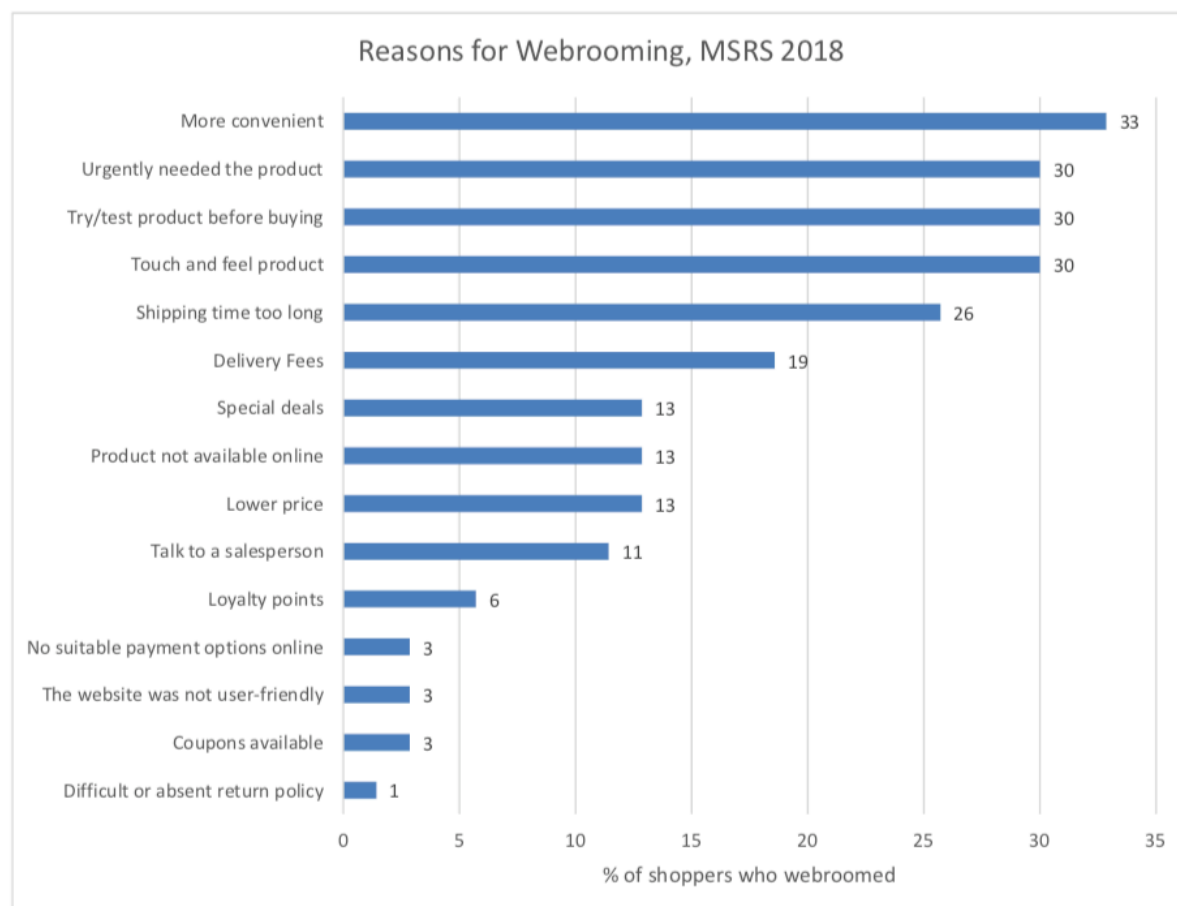
Retailers can take advantage of the fact that shoppers are showrooming, especially if they are doing it instore. With smart phone in hand, customers could be encouraged to read and write product reviews, since buying decisions are strongly influenced by what your peers think (Khan, 2018). MSRS, 2018, finds almost half (48%), of those using smartphones whilst they shop instore are checking product reviews. They are also looking up product information, checking availability as well as comparing prices on other retailers’ websites. If shoppers are doing this anyway retailers could consider encouraging it by providing free Wi-Fi and having tablets on-hand with product information and reviews and if there is a price matching guarantee, then place visible signs throughout the store, making the policy clear and giving customers the confidence to buy in a store that guarantees the best prices.



Shah et al (2018) and Oates (2015) say that “mobile technology is going to be pivotal in the retail space as it provides the link between locations and what is known about the individual. So if consumers are showrooming instore why not personalize the experience by sending out nearby and relevant promotions through a GPS technology, called Geofencing, that enables marketers to send push notifications of nearby offers or promotions.”

2.2 What to do about Webrooming?

Reasons for customers to webroom are mostly tactile. Customers want to ‘see and feel’ before buying. Other reasons also include, not wanting to pay for shipping or delivery, wanting the product immediately and hassle free returns (GfK, 2014, & Khan, 2018). Again MSRS, 2018, agrees, the main reasons shoppers gave for webrooming in its survey were convenience, immediacy, tactile experience with the product and reluctance to pay delivery fees.



Roelant Prins, Chief Commercial Officer at Ayden (cited in Wilson, 2017) believes that people still enjoy the social aspects of shopping, and goes on to say this is unlikely to change. Again, a slight gender difference here. As one may have predicted women tend to enjoy shopping more than men, who want to get out fast and value convenient parking and short checkout queues. (Aswegen, 2015). The MSRS, 2018, found a significant difference in the mean Likert scale scores when respondents were presented with the question; “Shopping is one of the most enjoyable activities in my life” and “I enjoy shopping just for the fun of it”. The p-values, using the two tailed t-test assuming equal variance, were 0.004 and 0.017 respectively (see Appendix E). Thus to attract women into the store, retailers need to offer customers unique and surprising experiences. Oates, 2015, gives an example of a home appliance retailer in the US called Pirch who have had huge success opening eight stores with ‘wow factor experiences’ such as offering customers the chance to take a shower before buying a particular showerhead and providing customers with hot snacks whilst they are being attended to by friendly staff.

Roman (2017) says technology is changing rapidly and customers expect retailers to keep pace. In fact some retailers already have the ability for customers to scan products instore with their mobile to come up with product information and reviews. Over half of customers expect mobile payments to be a reality in two years whereby shoppers could “just walk out” with an item, and it will be automatically charged and they can skip the checkout line altogether.

3.0 Harvey Norman Recommendations

Harvey Norman, which mainly operates as a franchise, is an “Australian-based multi-national retailer of furniture, bedding, computers, communications and consumer electrical products” (Wikipedia, 2018). We consider only the New Zealand stores, of which there are 40 across the country. The Herald (December, 2017) reported increased profits to date even with some strong competition in the form of JB Hi-Fi, Noel Lemming and Farmers. Part of Harvey Norman’s appeal is its large showrooms with specialist salespeople in each department who appear to be well trained and have excellent product knowledge. Currently they use a third party for deliveries or you can collect items yourself, driving right up to the warehouse, which is usually located not too far from the store. The question is how can Harvey Norman increase its profits even further and continue to grow its market share?

The report believes profits will follow an improved customer service and the main point of difference will be integrating its online and offline operations. Schaeffer (n.d.), says “it’s a tall order, but satisfying consumer expectations requires nothing short of an in-store experience which is more personalised, convenient, informative, collaborative and even entertaining as the best online shopping experience”. (See Koeppel’s Infographic in Appendix F – Retail Takeaways).

In order to achieve this Harvey Norman could consider the following:

- Regular, new and unique instore customer experiences to draw people in store. (See Koeppel’s Infographic in Appendix G – Reinventing the Instore Experience). This strategy may appeal more to women as we noted gender differences in shopping enjoyment.
- Investing in new mobile technology which allows customers to scan products with their smartphones in store and read product information and reviews and potentially purchase the product through a mobile app, then finally walk out of the store without having to stand in a long queue. This strategy should appeal to male shoppers as well as time pressure shoppers.
- Geofencing, mobile technology with special instore promotions sent direct to shoppers’ smartphones when they are instore or nearby.
- Free delivery for those ordering from the shop floor.
- Continue to get the basics right and don’t forget about the older generations who either don’t have smartphones or don’t choose to use them whilst shopping instore. (See Koeppel’s Infographic in Appendix H - Targeting Generational Shoppers).

4.0 Impact on Customers of Harvey Norman

For the most part the recommendations to improve Harvey Norman can only lead to a more satisfied customer and hopefully one that is keen to share their experience with others through word of mouth, social media or by writing a customer review. Incentives, ‘not bribes’ should be put in place to encourage this behaviour, for example, raffle prizes and/or loyalty points or a discount on a subsequent purchase.

However, whilst around 95% of Millennials say they prefer retailers court them actively, along with emailed promotions, text messages and contact through social media (da Silva, 2016), other generations may not feel the same way. Thus any Geofencing, (pushing out special deals to mobile phones whilst customers are instore or nearby offering unique discounts) may encounter some criticism from those who feel it is an invasion of their privacy. Therefore consideration must be given as to whether the scheme is opt-in or opt-out. The report recommends an opt-in approach with some incentives to do so.

Conclusion

While both showrooming and webrooming are commonplace behaviours, webrooming has become slightly more popular in recent years which goes to show that BM stores are still relevant. Showrooming was found to affect the profits of BM stores however it is more difficult to quantify the effect of webrooming, better to accept it as a part of the buying process and try to streamline the process as much as possible. Harvey Norman was advised to better integrate their online and offline channels and consider investing in new mobile technology to deliver the latest innovative ideas whilst not forgetting to deliver on the basics.

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APPENDIX A – χ^2 STATISTIC SHOWROOMED PRODUCT BY GENDER

Observed - O	Food and Groceries	Furniture & Homeware	White goods & Appliances	Consumer Electronics	Clothing & Footwear	Cosmetics & Toiletries	Books & Magazines	Other	Total
Male	1	0	1	9	6	1	1	3	22
Female	1	3	3	3	26	8	2	0	46
Total	2	3	4	12	32	9	3	3	68

Expected - E	Food and Groceries	Furniture & Homeware	White goods & Appliances	Consumer Electronics	Clothing & Footwear	Cosmetics & Toiletries	Books & Magazines	Other	Total
Male	1	1	1	4	10	3	1	1	22
Female	1	2	3	8	22	6	2	2	46
Total	2	3	4	12	32	9	3	3	68

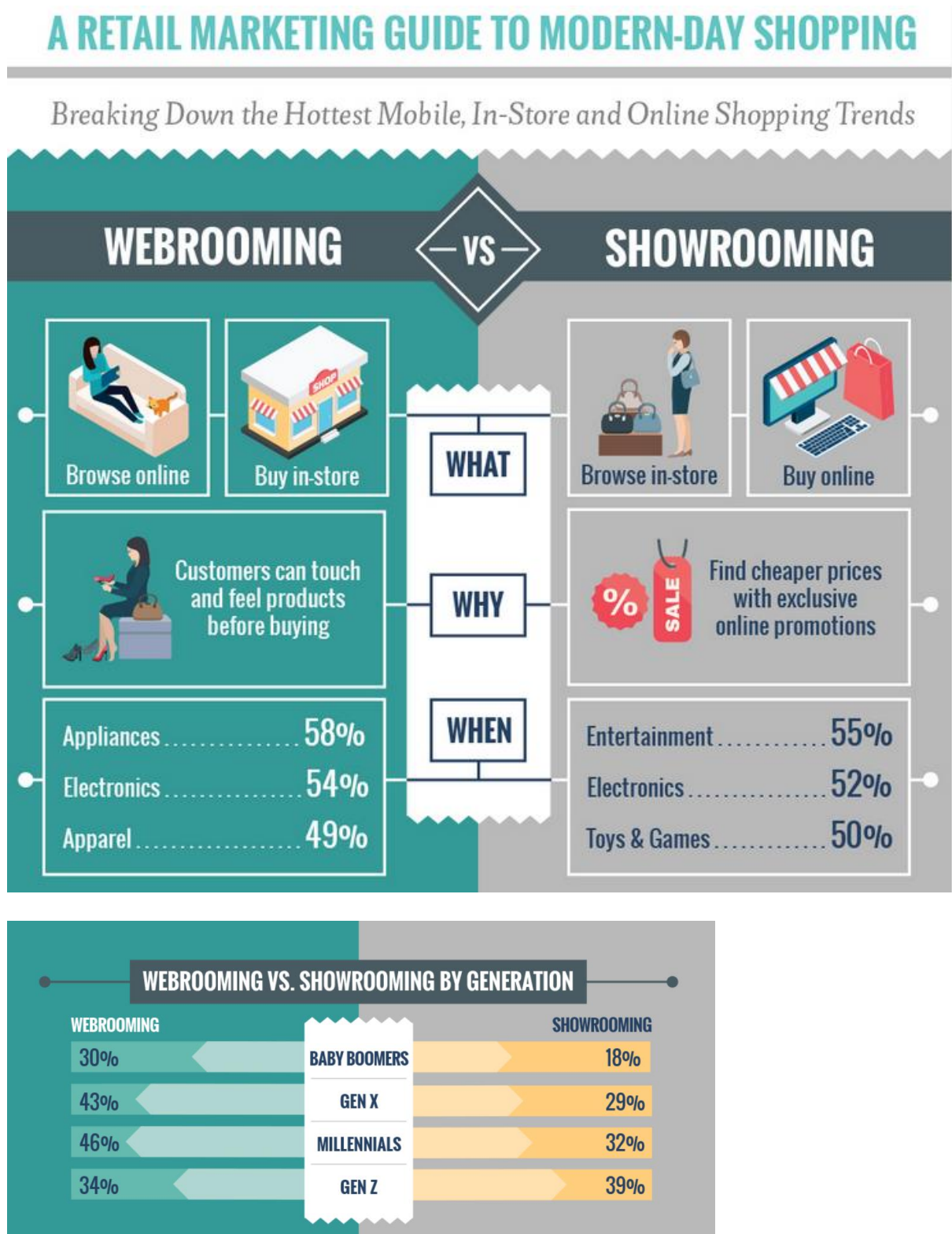
Residual (O-E)	Food and Groceries	Furniture & Homeware	White goods & Appliances	Consumer Electronics	Clothing & Footwear	Cosmetics & Toiletries	Books & Magazines	Other	Total
Male	0	-1	0	5	-4	-2	0	2	0
Female	0	1	0	-5	4	2	0	-2	0
Total	0	0	0	0	0	0	0	0	0

Residual squared (O-E) ²	Food and Groceries	Furniture & Homeware	White goods & Appliances	Consumer Electronics	Clothing & Footwear	Cosmetics & Toiletries	Books & Magazines	Other
Male	0.12	0.94	0.09	26.19	18.95	3.65	0.00	4.12
Female	0.12	0.94	0.09	26.19	18.95	3.65	0.00	4.12

Squared Residual divided by Expected (O-E) ² /E	Food and Groceries	Furniture & Homeware	White goods & Appliances	Consumer Electronics	Clothing & Footwear	Cosmetics & Toiletries	Books & Magazines	Other
Male	0.19	0.97	0.07	6.75	1.83	1.26	0.00	4.24
Female	0.09	0.46	0.03	3.23	0.88	0.60	0.00	2.03

Chi-squared value	22.626
Degrees of freedom	7
Critical Value (from table)	14.027
p-value	0.002

APPENDIX B - KOEPEL INFOGRAPHIC 1



APPENDIX C – χ^2 STATISTIC SHOWROOMING BY AGE

Observed - O	18-24 years	25-34 years	35-44 years	45-54 years	55-64 years	65 years +	Total
Yes	24	14	10	9	0	0	57
No	20	15	6	6	2	4	53
Total	44	29	16	15	2	4	110

Expected - E	18-24 years	25-34 years	35-44 years	45-54 years	55-64 years	65 years +	Total
Yes	23	15	8	8	1	2	22
No	21	14	8	7	1	2	46
Total	44	29	16	15	2	4	68

Residual (O-E)	18-24 years	25-34 years	35-44 years	45-54 years	55-64 years	65 years +	Total
Yes	1	-1	2	1	-1	-2	0
No	-1	1	-2	-1	1	2	0
Total	0	0	0	0	0	0	0

Residuals squared (O-E)^2	18-24 years	25-34 years	35-44 years	45-54 years	55-64 years	65 years +	
Yes	1	1	3	2	1	4	
No	1	1	3	2	1	4	

Squared Residual divided by Expected (O-E)^2/E	18-24 years	25-34 years	35-44 years	45-54 years	55-64 years	65 years +	
Yes	0.06	0.07	0.35	0.19	1.04	2.07	
No	0.07	0.08	0.38	0.21	1.11	2.23	

Chi-squared value	7.863
Degrees of freedom	5
Critical Value (from table)	11.070
p-value	0.164

APPENDIX D – χ^2 STATISTIC SMARTPHONE OWNERSHIP BY AGE

Observed Values (O)	Yes	No	Total
18 - 24 years	25	5	30
25 - 34 years	26	13	39
35 - 44 years	16	14	30
45-54 years	14	19	33
55 - 64 years	4	16	20
Total	85	67	152

Expected Values (E0)	Yes	No	Total
18 - 24 years	17	13	30
25 - 34 years	22	17	39
35 - 44 years	17	13	30
45-54 years	18	15	33
55 - 64 years	11	9	20
Total	85	67	152

Residuals (O-E)	Yes	No	Squared Residuals (O-E)^2	Yes	No
18 - 24 years	8.22	-8.22	18 - 24 years	67.63	67.63
25 - 34 years	4.19	-4.19	25 - 34 years	17.56	17.56
35 - 44 years	-0.78	0.78	35 - 44 years	0.60	0.60
45-54 years	-4.45	4.45	45-54 years	19.84	19.84
55 - 64 years	-7.18	7.18	55 - 64 years	51.61	51.61
Total	0.00	0.00			

Squared Residuals divided by Expected (O-E)*(O-E)/E	Yes	No
2 (18-24)	4.03	5.11
3 (25-34)	0.81	1.02
4 (35-44)	0.04	0.05
5 (45-54)	1.07	1.36
6 (55-64)	4.61	5.85

Chi-Square:	23.960
Degrees of Freedom:	4
Critical Value table	9.488
p-value	0.0008

APPENDIX F – KOEPPEL INFOGRAPHIC 3



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APPENDIX G – KOEPPEL INFOGRAPHIC 4



